3
Documentary credits and other methods of settlement

Learning objectives

This chapter provides an overview of what a documentary credit is, with a basic flow chart to describe the steps from contract agreement until settlement for a documentary credit that is not confirmed by the advising bank.

In order to draw comparisons with other methods of trade settlement, flow charts are provided covering advance payment, open account, documentary collection (sight and usance) and the use of a bank guarantee to secure payment under an open account or documentary collection transaction.

By the end of this chapter, you should be able to:

- describe what a documentary credit is; and
- identify how a documentary credit differs in process and substance to other methods of trade settlement.

3.1 What is a documentary credit?

In very simple terms, a documentary credit is an irrevocable undertaking issued by a bank whereby it undertakes to make payment to a named beneficiary, provided that the documents stipulated in the documentary credit are presented, and all of its terms and conditions are complied with.

The definition of 'credit' offered in **UCP 600, article 2**, is a short and definitive statement:

> **Credit** means any arrangement, however named or described, that is irrevocable and thereby constitutes a definite undertaking of the issuing bank to honour a complying presentation.

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If we review this definition, we can see that any method of settlement ('however named or described') that describes itself as being irrevocable, and which is payable upon the presentation of one or more stipulated documents, can be made subject to UCP 600. In this context, it would be possible for not only a standby letter of credit to be made subject to the rules (as specifically provided in UCP 600, article 1), but also a bank guarantee.

Although it is a bank that will usually issue a documentary credit, any company or individual may also act in the capacity of issuer. It is often a decision for a beneficiary whether an issuer has the financial means to fulfil the terms of the undertaking given in its documentary credit. A beneficiary would be well advised to seek the advice of its bankers on the suitability of the issuer of a documentary credit, because there may be various risks that require consideration. For example, the availability of foreign exchange, political risks, etc. as well as the creditworthiness of the issuer, are potential concerns that may impact any payment due to that beneficiary.

For the purpose of this study text, we will focus on documentary credits that are issued by banks.

3.2 The structure of a basic documentary credit transaction

A trade transaction will normally begin with the establishment of a purchase or sale contract, or proforma invoice, between a buyer and seller. The contract or proforma invoice will indicate the method of settlement, among other details such as the nature of the goods, the amount, and the names of the buyer and seller. In the example in Figure 3.1, the contract indicates a documentary credit as the chosen method of settlement.

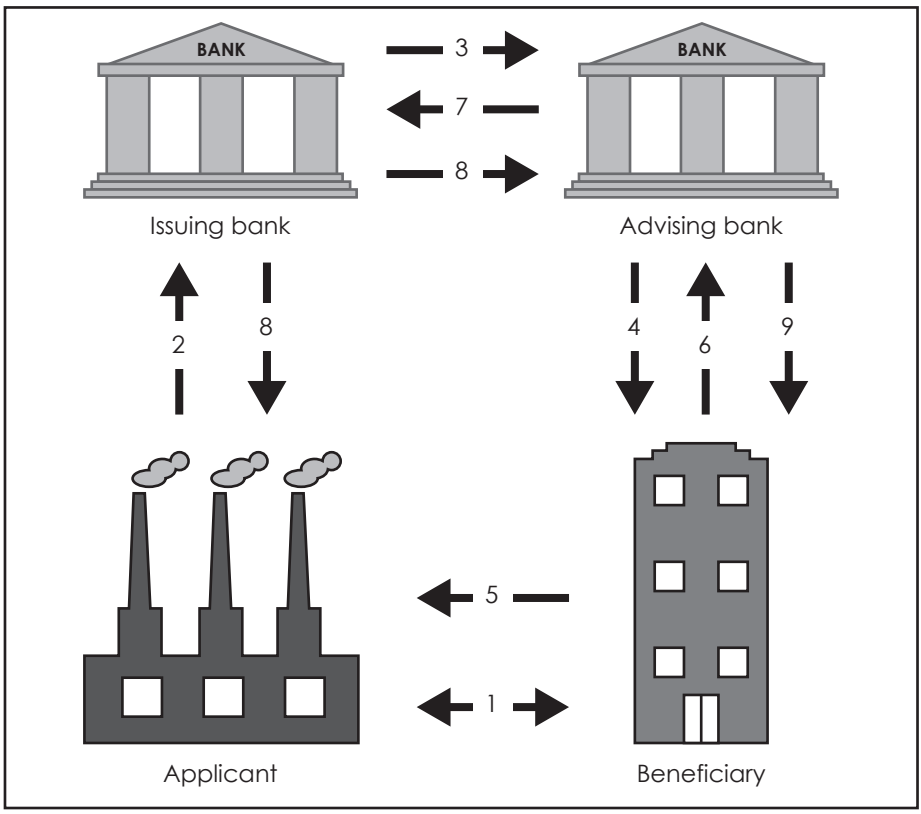
The structure of a basic documentary credit transaction that does not bear the confirmation of the advising bank, and which covers the movement of goods, is highlighted in Figure 3.1 and described in more detail below. It should be noted that there are a number of variations to this structure, and these are explained later in this study text.

Notes to Figure 3.1

1. The contract is agreed between the buyer ('applicant') and seller ('beneficiary') indicating a documentary credit as the method of settlement.
2. The applicant applies to its bank for the issuance of a documentary credit, usually by completing the bank's standard application form.
3. Subject to a credit facility being in place and the bank agreeing to the terms and conditions that have been stated in the application form, the bank issues the documentary credit and advises it through a bank in the country of the beneficiary, known as the 'advising bank'.

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Figure 3.1 Documentary credit without confirmation of advising bank



4. The advising bank issues its advice of the documentary credit and sends it to the beneficiary.

5. The beneficiary, if in agreement with the terms and conditions of the documentary credit, arranges shipment of the goods.

6. Having shipped the goods, the beneficiary issues, collates and presents the documents stipulated in the documentary credit to the advising bank, which is also the 'nominated bank' named in the documentary credit.

7. Because the advising bank has not added its confirmation to the credit, it may or may not examine the documents prior to sending them to the issuing bank. It is also under no obligation to honour or negotiate the beneficiary's documents. We will assume that the advising/nominated bank has not examined the documents.

8. The issuing bank determines that the documents comply and arranges to debit the applicant's account for the value of the drawing. In return, the documents are handed over to the applicant so that it may take control of the goods. At the same time, the issuing bank reimburses the advising/nominated bank.

9. The advising/nominated bank, upon receipt of the proceeds from the issuing bank, effects settlement to the beneficiary in the manner requested.

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Under the documentary credit, the applicant was able to indicate the terms and conditions that were to be complied with by the beneficiary before honour or negotiation would occur. Conversely, the beneficiary knew that if it were to comply with those terms and conditions, it would receive settlement according to the payment terms in the documentary credit and under the undertaking provided by the issuing bank.

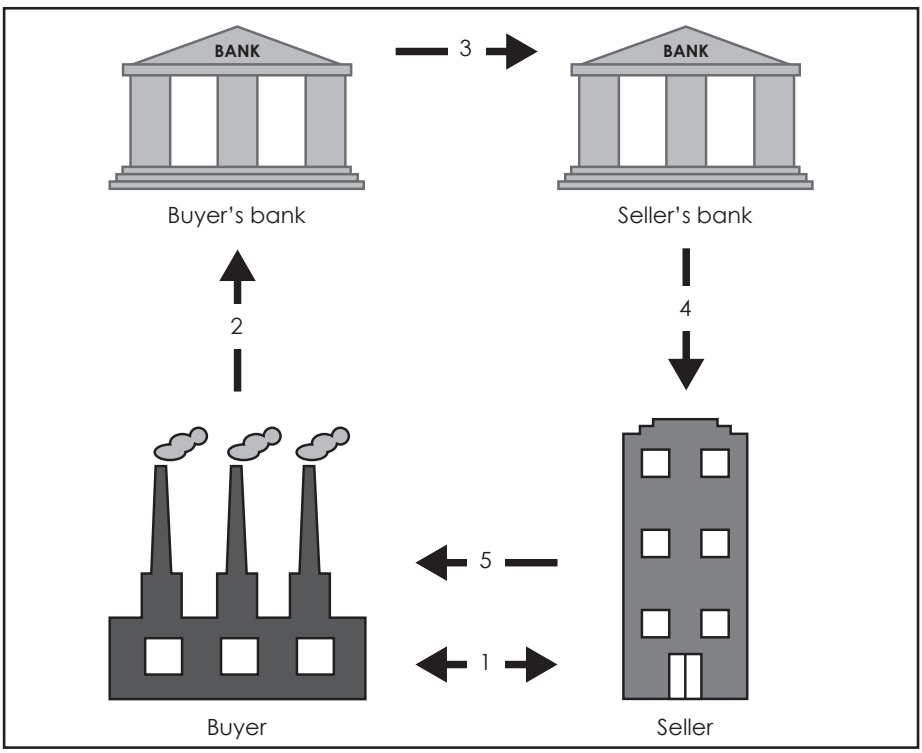
All of steps 1–9 will be covered in some detail in subsequent chapters.

3.3 Basic flow charts for other settlement methods

3.3.1 Advance payment

Advance payment is the form of settlement that offers the least risk to the seller, but a high level of risk to the buyer. The process is described in Figure 3.2.

Figure 3.2 Advance payment



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Notes to Figure 3.2

1. The contract is agreed between the buyer and seller, indicating advance payment as the method of settlement.
2. The buyer instructs its bank to make payment to the seller's account with a specific bank.
3. The banker of the buyer makes payment, as requested.
4. The banker of the seller credits the amount to the account of the seller under advice.
5. The seller ships the goods.

In this example, the buyer made payment in accordance with the contract, but had no guarantee that the goods would be shipped once the payment had been made or that the goods would be of the required quality.

The reasons for adopting this method may be summarised as follows.

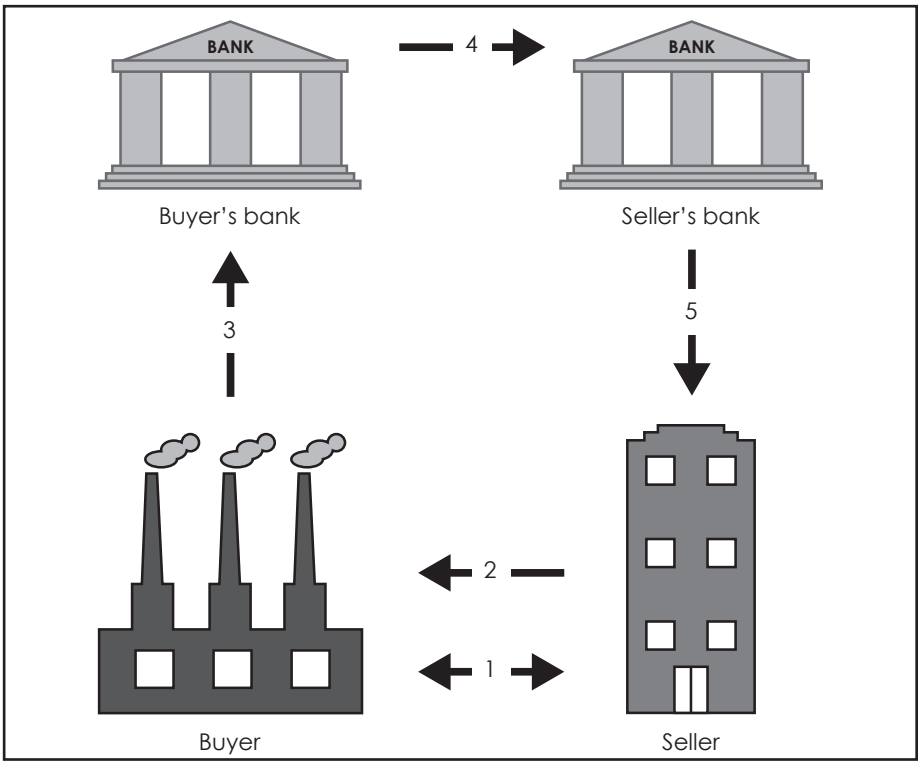
- The seller may be unwilling to ship goods to the country in which the buyer is located prior to receipt of payment, for reasons of 'country risk'.
- The buyer may wish to encourage the seller to enter into a long-term trade relationship.
- The seller may not have finance with which to buy or prepare the goods for shipment.
- The buyer may feel comfortable with its relationship with the seller, and with both the credit and country risks relating to that seller.

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3.3.2 Open account

Open account is the form of settlement that offers the least risk to the buyer, but a high level of risk to the seller. The process is described in Figure 3.3, which covers a transaction payable on a sight basis.

Figure 3.3 Open account



Notes to Figure 3.3

1. The contract is agreed between the buyer and seller, indicating open account terms as the method of settlement.
2. The seller arranges shipment of the goods according to the agreed terms and also forwards the underlying shipping documents to the buyer.
3. If the buyer is satisfied with the goods and / or the documents, it instructs its bank to make settlement to the seller in the manner requested.
4. The banker of the buyer makes payment to the banker of the seller.
5. The banker of the seller credits the amount to the account of the seller under advice.

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In this example, the seller had no bank undertaking and was entirely reliant upon the buyer to make payment, as agreed in the sales contract.

When business is conducted on open account terms, the seller dispatches goods to the buyer without any guarantee of payment. On dispatch, the seller sends the buyer an invoice (together with other appropriate shipping documents) for payment on an agreed date or at the end of an agreed period. For example, the agreed period might be for payment to be made at the end of the month following the month of shipment. The buyer will make arrangements to pay on the relevant date, according to the terms of the sales contract. The buyer may use any appropriate payment method, such as an international bank transfer or bank draft, absent any specific request of the seller.

Open account trading is most commonly used when the two companies concerned have a long-established trading relationship. For example, transactions between sellers and buyers located in countries in Western Europe and the United States are often conducted on this basis. Sellers may also use open account trading to secure contracts with parties in some developing countries to which documentary credit terms have been applied in the past.

Open account trading offers several advantages – particularly that it is simple to administer and involves minimal banking fees or other costs. The system is particularly attractive to buyers because it affords them the opportunity to examine the goods before they have to make payment. Sellers using open account methods obtain no security for payment, and have to rely entirely on the creditworthiness and good faith of the buyer. This may be contrasted with the situation under documentary credits and documentary collections, in which the seller obtains the security of a bank undertaking or a bank retaining control over the documents that relate to the shipment. The only involvement by banks in open account trading is in the transfer of funds on behalf of the buyer to the seller.

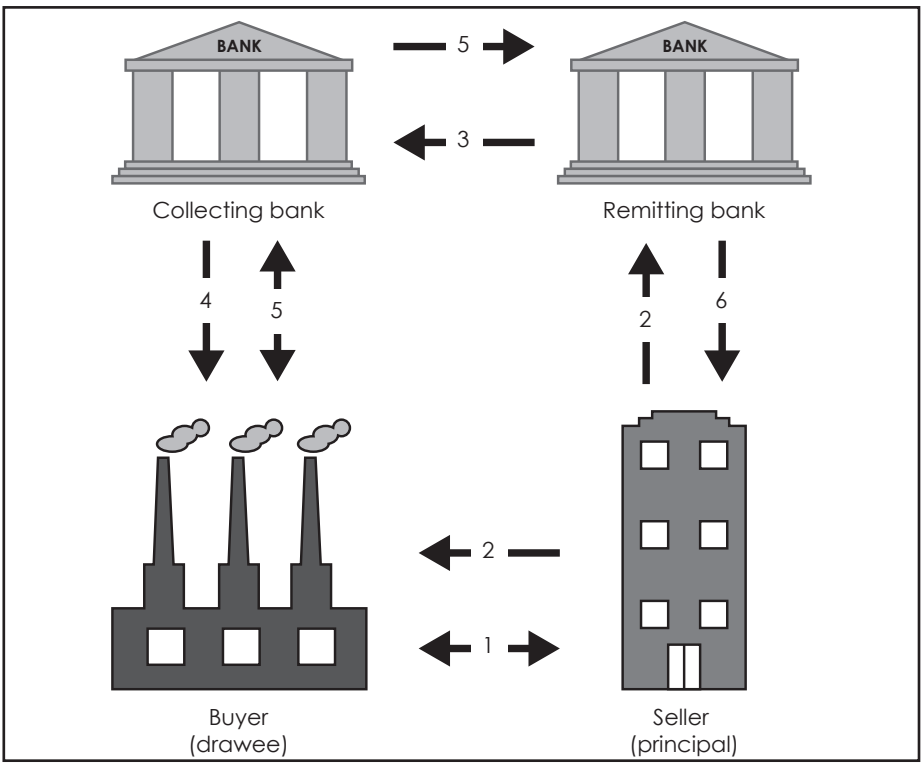
3.3.3 Documentary collection payable on a sight basis

Documentary collection payable on a sight basis is a form of settlement that can offer reduced risk for both the buyer and seller. The buyer need not pay the collection until it has viewed the documents at the offices of its bank, which will be known as the ‘collecting bank’. The seller knows that its documents will be held within the banking system until such time as they are honoured. However, the seller, known as the ‘principal’, has no guarantee of payment.

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The process is described in Figure 3.4, which covers a transaction payable on a sight basis.

Figure 3.4 Documentary collection payable at sight



Notes to Figure 3.4

1. The contract is agreed between the buyer and seller, indicating a documentary collection payable at sight as the method of settlement.
2. The seller arranges shipment of the goods according to the agreed terms and forwards the underlying shipping documents to its bank, known as the 'remitting bank'.
3. The remitting bank sends the documents to the bank of the buyer, known as the 'collecting bank'.
4. The collecting bank makes the documents available for review at its counters, so that the buyer may make a decision regarding payment.
5. The buyer authorises payment, and the collecting bank remits the proceeds to the remitting bank and releases the documents to the buyer, so that the goods may be collected.
6. The remitting bank credits the amount to the account of the seller under advice.

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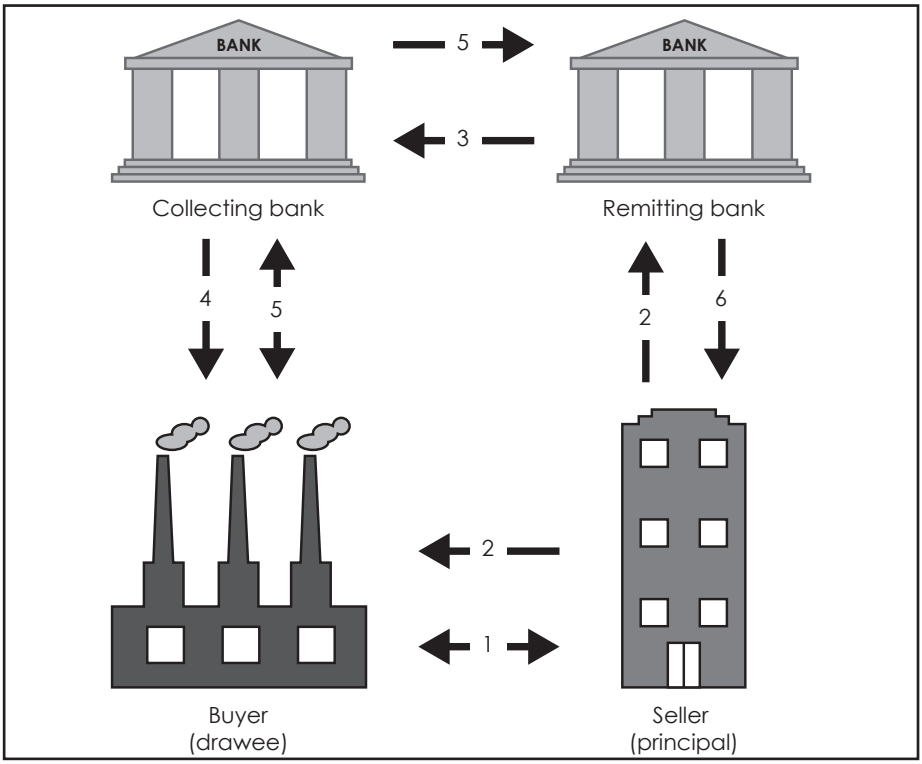
3.3.4 Documentary collection payable on a usance basis

Documentary collection payable on a usance basis is a form of settlement that can offer reduced risk for both the buyer and seller. The buyer need not accept the draft presented with the collection until it has viewed the documents at the offices of its bank, which will be known as the 'collecting bank'. The seller knows that its documents will be held within the banking system until such time as the draft is accepted. However, the seller has no undertaking that the draft will be honoured on the due date, even if accepted by the buyer ('drawee').

The process is described in Figure 3.5 (overleaf), which covers a transaction payable on a usance basis.

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Figure 3.5 Documentary collection payable on a usance basis



Notes to Figure 3.5

1. The contract is agreed between the buyer and seller, indicating a documentary collection payable on a usance basis as the method of settlement.
2. The seller arranges shipment of the goods according to the agreed terms and forwards the underlying shipping documents to its bank, known as the 'remitting bank', including a draft drawn on the buyer on the agreed payment terms.
3. The remitting bank sends the documents to the bank of the buyer, known as the 'collecting bank'.
4. The collecting bank makes the documents available for review at its counters, so that the buyer may make a decision regarding acceptance.
5. The buyer accepts the draft, and the collecting bank informs the remitting bank of this fact and releases the documents to the buyer.
6. The collecting bank can retain the accepted draft, in which event an advice of acceptance is sent to the remitting bank, or the draft can be returned to the seller via the remitting bank for presentation just prior to the maturity date. The seller will receive the accepted draft for re-presentation near to the maturity date or an advice of acceptance.

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The payment of the accepted draft will happen as a result of the buyer making payment on the due date or a new collection instruction being raised to forward the accepted draft that had previously been returned to the seller.

In summary, under a documentary collection, the seller ships the goods to the buyer in the importing country. At the same time, it hands over to its bank the shipping documents relating to the goods and their shipment. Examples of common documents are bills of lading, commercial invoices, insurance documents and certificates of origin. The bank forwards these to a correspondent bank in the buyer's country, which is often the buyer's bank, to handle the documents in accordance with the instructions of the seller, as instructed by the seller's bank in its collection instruction.

Under this procedure, banks manage the document-handling process, but they do not usually themselves give any payment undertaking. This solution offers the seller less security than a documentary credit, but as a consequence the costs are lower. It nonetheless gives the seller some measure of security for payment. The seller's interest is best served where the buyer is not able to obtain possession of the goods without the documents that are sent through the banking system. The full security of a documentary collection applies only if the transport document is a negotiable bill of lading and / or if the goods are consigned to the bank in the importing country, with the consent of that bank.

If the seller has agreed to supply the goods on short-term credit, it can stipulate that the documents be handed over against the buyer's acceptance of a bill of exchange or signature on a promissory note. The seller may be able to discount the bill or note in return for an immediate payment. The international rules governing collections are the ICC Uniform Rules for Collections, ICC Publication No. 522.

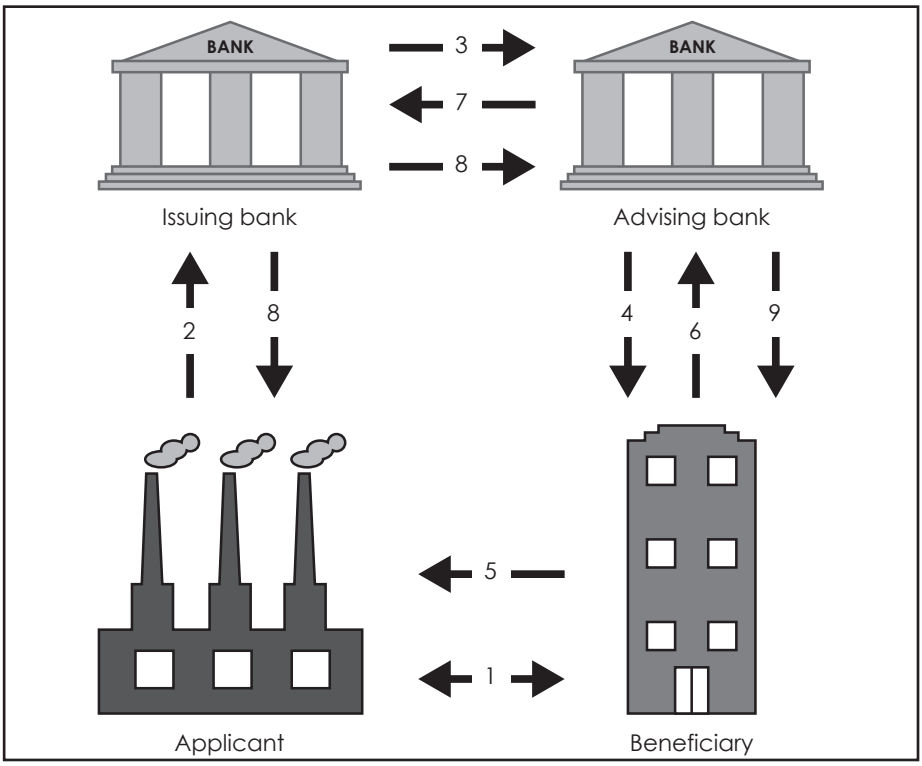
3.3.5 Payment secured by a bank guarantee or standby letter of credit

It may be the case that a seller will look to secure a payment that is to be made on open account terms, or by documentary collection, by requesting that the buyer arrange for the issuance of a bank guarantee or standby letter of credit under which it may draw in the event that the underlying transaction is not honoured in the manner that has been agreed.

For the purpose of demonstrating this transaction, Figure 3.6 uses a bank guarantee as an example, but the process could equally apply to a standby letter of credit. Standby letters of credit are covered in Chapter 21.

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Figure 3.6 Payment secured by a bank guarantee (or standby letter of credit)



Notes to Figure 3.6

1. The contract is agreed between the buyer and seller, indicating open account terms or a documentary collection as the method of settlement, supported by a bank guarantee.
2. The buyer applies to its bank for the issuance of a bank guarantee, usually by completing the bank's standard application form.
3. Subject to a credit facility being in place, and the bank agreeing to the terms and conditions that have been stated in the application form, the bank issues the guarantee and advises it through a bank in the country in which the beneficiary is located, known as the 'advising bank'.
4. The advising bank issues its advice of the guarantee and sends it to the beneficiary.
5. The beneficiary, if in agreement with the terms and conditions of the guarantee, arranges shipment of the goods. Having shipped the goods, the beneficiary issues, collates and presents its documents directly to the buyer (open account terms) or to the remitting bank (if documentary collection terms) for sending to the collecting bank.
6. If the open account transaction, or the documentary collection, is honoured, the guarantee is not utilised. If there is a payment default by the buyer, the seller issues a demand in accordance with the requirements of the guarantee and presents it to the advising bank.
7. The advising bank sends the demand to the issuing bank.

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8. The issuing bank determines that the demand complies and arranges to debit the applicant's account for the value of the drawing. In return, the demand is handed over to the applicant. At the same time, the issuing bank reimburses the advising bank.
9. The advising bank, upon receipt of the proceeds from the issuing bank, effects settlement to the beneficiary in the manner requested.

Although the seller has obtained a bank undertaking to ensure that payment for its goods, services or performance will be met, the buyer has the risk of an unjustified claim being made under the guarantee or standby letter of credit.

Questions

1. 'A bank guarantee can be issued subject to UCP 600.' Is this statement true or false?

   A. True

   B. False

2. 'The issuance of a bank guarantee offers an applicant little risk, because it covers only the non-payment of an open account or documentary collection transaction.' Is this statement true or false?

   A. True

   B. False

3. Under a sight documentary collection, for what reason is the buyer exposed to only minimal risk?

   A. Because it need only pay when it has received and reviewed the original shipping documents.

   B. Because it need only pay when it has reviewed the original shipping documents at the counters of the collecting bank.

   C. Because it need only pay when it has reviewed the original shipping documents at the counters of the remitting bank.

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4. Under which method of settlement is there a guarantee that payment will be made for an accepted draft?

   A. Documentary credit

   B. Documentary collection

   C. Open account

5. 'In terms of the type, number and form of documents that will be received, the buyer has the same protection under an open account transaction as it does under a documentary credit.' Is this statement true or false?

   A. True

   B. False

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